

Hadley vs Baxendale (1854)

Case study – IV

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HADLEY VS BAXENDALE

INTRODUCTION

- ★ Hadley vs Baxendale is a case was decided in 1854.
- ★ It explains the rules of claiming damages for breach contract.
- ★ This case is an important part of every business law because it helps for understand their rights and responsibilities.

FACTS OF THE CASE

- ★ Hadley was the owner of a flour mill.
- ★ The mill was stopped working because the crankshaft broke.
- ★ So, he gave the broken shaft to Baxendale's transport company to send it to the manufacturer.
- ★ The transport company promised to deliver it.
- ★ But the delivery was delayed.
- ★ Because of the delay, the mill stayed closed for some days.
- ★ So, he filed a case against Baxendale and asked for compensation.

LEGAL ISSUES

- ✦ The court had to answer for this question
- ✦ Should the transport company pay for the business loss?
- ✦ Can Mr. Hadley claim all the money he lost because of the delay?
- ✦ The court had to decide whether the loss was a normal loss or a special loss.

COURT DISCUSSION

- ✦ The court carefully looked at all the facts.
- ✦ The judges checked whether the transport company knew about Mr. Hadley's business situation.
- ✦ They found that Mr. Hadley did not tell the company that his mill would stop if the delivery was late.
- ✦ The company only knew they were carrying one broken machine part.
- ✦ They did not know that the delay would cause a big business loss.
- ✦ So, the court discussed whether it was fair to make the company pay for that special loss.

JUDGEMENT

- ✦ The court gave the judgment in favor of Baxendale.
- ✦ The court said the transport company was not informed about the special situation.
- ✦ Because of this, they were not responsible for the business profit lost.
- ✦ The court said only normal and expected damages can be claimed.
- ✦ Special damages cannot be claimed if the other party did not know about them before making the contract.

LEGAL PRINCIPLE

- ✦ This case created the rule of Remoteness of Damages.
- ✦ It means a person can get compensation only for the loss which can normally happen after a breach of contract.
- ✦ If there is any special loss, it must be clearly informed before the contract.
- ✦ Otherwise, the other party is not responsible for that loss.
- ✦ This principle is still followed in contract law today.

BUSINESS RELEVANCE

- ✦ This case is very useful in business.
- ✦ Before making a contract, both parties should share important information.
- ✦ Clear communication helps to avoid confusion and future problems.
- ✦ It also helps businesses understand their legal responsibility.
- ✦ This case teaches that not every business loss will get compensation.

CONCLUSION

- ✦ Finally, Hadley v. Baxendale (1854) is one of the famous cases in Contract Law.
- ✦ It explains when damages can be claimed after a breach of contract.
- ✦ The judgment teaches that only reasonable and expected losses can get compensation.
- ✦ This case is still an important guide for business people and courts.